



Central Bank
of Armenia

2025 February

Transparency

Report

Published February 4, 2025

A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

February 4, 2025

Present at the meeting: Governor Martin Galstyan; Deputy Governor Armen Nurbekyan; Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan, Levon Sahakyan and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia started with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in Part B of the Executive Monetary Policy Statement.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to address the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future path of the policy rate. Based on the CBA's most recent surveys, financial market participants expect the CBA policy rate to follow a gradual loosening path, consistent with the logic of prior policy actions.

In this context, on the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). Such developments suggest the possible expansion of the inflationary environment in the global economy, as well as the risks of interest rates remaining at elevated levels in the long term. These types of scenarios are primarily related to the more expansionary fiscal stance in the United States and, in this context, the prospects of increased debt; the uncertainties surrounding the U.S. long-term neutral interest rate; the tightening of external trade policies by leading economies and the expansion of the scope of countries subject to such policies; global and regional geopolitical developments; the formulation of a more expansionary fiscal policy in the RA; and other risks.

On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include the gradual slowdown of economic growth in Armenia, weakening demand, and the prolonged persistence of a low-inflation environment. They also encompass risks related to the further weakening of global demand, the deterioration of labor market conditions in the domestic economy, an undesirable decline in inflation expectations due to inflation remaining low for an extended period, as well as uncertainties and risks regarding the impact on aggregate demand amid slowing activity in the real estate market.

In the context of a broader range of risks, the Board members presented their views on the main sources of risks and uncertainties that are crucial for making a prudent policy rate decision at this stage. In particular, they emphasized the importance of minimizing potential losses arising from these risks and uncertainties.

Board members discussed issues related to the outlook for the U.S. economy and uncertainties surrounding Fed monetary policy. M. Galstyan and L. Sahakyan noted that the risks previously associated with U.S. economic developments, particularly the tightening of external trade policy, are now somewhat materializing. N. Ghazaryan and A. Manukyan believed that this could have a deflationary effect on global oil prices, as the U.S. may expand oil production, while adding that other goods could experience stronger inflationary pressures. N. Ghazaryan considered that this policy would primarily manifest as a temporary supply-driven inflationary effect, to which the Fed may not respond. On the other hand, H. Ghahramanyan and L. Sahakyan noted that, given the potential expansion of fiscal policy, the distinction between supply- and demand-driven inflationary factors is not entirely clear. Board members agreed that uncertainties regarding the U.S. neutral interest rate persist. Addressing global economic developments, board members pointed out risks related to the further slowdown in domestic demand and economic activity in China, which could affect international commodity prices and the prices of non-food imports in Armenia. Meanwhile, the ongoing deepening of industrial sector issues in the Euro Area could gradually spread to other sectors of the economy.

Discussing the developments in Russia's economy, A. Manukyan expressed concerns about medium-term outlook of the Russian economy, which could negatively affect both external demand for goods and services in the Armenia, creating additional deflationary pressures in the domestic consumer market.

Discussions then touched upon key sources of uncertainty about underlying domestic economic conditions. All Board members emphasized uncertainty about the output gap and the relative balance between aggregate supply and aggregate demand. Board members agreed that economic activity will gradually slowdown, approaching the level of long-term sustainable growth, while also noting that the high activity in sectors significantly contributing to economic growth is influenced by temporary factors. In particular, A. Nurbekyan noted that in case of a slowdown in demand, there are significant risks regarding the redemption of large investments made in various sectors in recent years, which could lead to deflationary pressures driven by excess supply. In this context, H. Ghahramanyan pointed to the decline in the consumer confidence index as an indicator of weakening overall demand. On the other hand, Board members L. Sahakyan pointed out that the signals of expanding domestic demand, driven by the growth of private consumption and especially consumer lending, persist, which already indicates an accommodative monetary policy stance, and a reduction in the interest rate could create additional inflationary pressures. All Board members emphasized the importance of the recent decline in Armenia's risk premium, including in the context of the resolution of the conflict in the Middle East. Particularly A. Manukyan noted that these developments should be addressed with an appropriate reduction in the interest rate. However, M. Galstyan and H. Ghahramanyan believe that there were no significant developments in the domestic economy that could lead to a decline in the risk premium and that it may be temporary in nature.

Addressing labor market developments, the Board members agreed that the significant slowdown in private wage growth, labor market supply and demand trends likely indicate a weakening of labor market conditions. L. Sahakyan noted that this weakening does not concern him and is similar to the stabilization of high demand for labor. H. Ghahramanyan emphasized that one of the most influential factors in this context is the increase in unit labor costs, which may be driven by elevated inflation expectations, potentially leading to additional inflationary pressures in the future.

The Board members also discussed recent developments in fiscal policy. N. Ghazaryan noted that the uncertainties regarding fiscal stimulus have intensified in two key areas: the risk of tax under-collection and the under-execution of expenditures. These factors could exert either a stronger-than-expected restraining effect or a more pronounced stimulus on the economy. Meanwhile, A. Nurbekyan emphasized that, in this context, he is particularly concerned about the potential impact of an expanding state budget deficit and rising government debt, as a more stimulative fiscal stance could contribute to an increase in the country's risk premium.

The Board members observed the persistence of a weak inflationary environment while highlighting that non-traded sticky price inflation remains close to the target level. According to M. Galstyan and A. Nurbekyan, deflationary risks stemming from a potential weakening of demand pose a greater concern—particularly in the context of public costs—than inflationary pressures arising from structural issues. However, they consider the likelihood of entering a deflationary spiral in the event of demand weakening to be low. L. Sahakyan, meanwhile, argued that despite inflation remaining below the target level for an extended period, the risk of an undesirable decline in inflation expectations is not significant. From a prudent risk management perspective, he emphasized that a gradual return of inflation to the target is preferable.

In summary, regarding Case A-type of scenarios, the Board emphasized the uncertainties and risks associated with the potential expansion of global inflationary pressures, the possibility of credit-driven demand growth in the domestic economy, and the implications of fiscal policy on the country's risk premium and neutral interest rate. As for Case B-type risks, the Board expressed concerns about the gradual slowdown in economic growth, the weakening of labor market conditions, and the outlook for the global economy.

L. Sahakyan and H. Ghahramanyan considered it prudent to keep the policy rate unchanged at this stage to mitigate risks associated with Case A-type scenarios. Meanwhile, Martin Galstyan, Armen Nurbekyan, Davit Nahapetyan, Narek Ghazaryan, and Artak Manukyan, seeking to balance both A-type and B-type risks, advocated for a continued gradual reduction of the policy rate in alignment with market expectations.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

As a result, balancing the risks in both directions mentioned above, the Board finds it appropriate to continue to gradually ease the policy stance. The Board thus finds it appropriate to continue gradually easing the policy stance. In this context, it was decided to reduce the policy rate by 25 basis points in the current phase (see Table 1). The Board affirms its commitment to adopting the appropriate policy actions and strategy to ensure the price stability objective of 3% inflation in the medium term.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
February 4, 2025 Decision

Board Member	Vote
Narek Ghazaryan	Decrease by 25 basis points
Levon Sahakyan	Leave unchanged
Artak Manukyan	Decrease by 25 basis points
Davit Nahapetyan	Decrease by 25 basis points
Hasmik Ghahramanyan	Leave unchanged
Armen Nurbekyan	Decrease by 25 basis points
Martin Galstyan	Decrease by 25 basis points

B. Final Vote Submissions

February 4, 2025

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Governor Martin Galstyan

Based on discussions with the Board during the policy round, the analysis of current and underlying economic conditions, as well as a careful assessment of the key sources of risk and uncertainty, I vote to reduce the policy rate by 25 basis points. My decision is motivated by a prudent balancing of both the Case A- and Case B-type risks. The current economic developments render Case B-type scenarios increasingly plausible. Specifically, along with the slowdown in economic growth and its characteristics in Armenia, the weakening labor market, and the prolonged period of low inflation, pose risks of suppressed demand and a sharp decline in inflation expectations. In the context of Case A-type risks, the primary concerns pertain to the medium-term outlook for the US fiscal policy and the tightening of external trade policies. As a result, given the prevailing labor market conditions, the high-inflation environment may persist for an extended period, keeping interest rates elevated for longer. Additionally, uncertainties and risks remain regarding the persistence of regional and global geopolitical tensions, the fiscal policy stance of the Armenian government—including the direction and magnitude of its impact on demand—as well as uncertainties surrounding the neutral interest rate. However, given a “least regrets” desire to avoid undesirable, dark corner outcomes, I believe that an additional reduction in the policy rate best addresses the challenges at hand. If new information or events emerge that require a reassessment of this balance of risks, I—along with the rest of the Board—express a resolute commitment to adjusting the policy stance in an appropriate and timely manner.

Deputy Governor Armen Nurbekyan

Considering the economic and financial developments over the past few months, discussions with the Board during the policy round, as well as a careful analysis of the key sources of risk and uncertainty, I have voted to decrease the policy rate by 25 basis points. The CBA made a significant progress in decreasing inflation expectations after two years of very high inflation and significantly reducing the risk of deanchoring of inflation expectations. At the same time, significant uncertainty both in the external and domestic economies remains. In the US, economic activity has been sound, the progress of bring back the inflation to its target has been significant, however the uncertainty around the long-run neutral rate and the “last mile” of inflation is still present. The medium-term outlook for budget deficits in the US adds significant upward pressure on the terminal rates. In addition, the uncertainty around tariff policy of Trump administrations adds to inflationary risks. These developments are also reflected in the increase of the US government bond yield curve despite the Fed cuts. Global and regional geopolitical risks have somewhat eased, but are still elevated presenting Case A risk due to the potential impact on the risk premium and hence neutral interest rate in Armenia. In the rest of the world, most notably EU and China, risks to economic activity are tilted downwards posing the main Case B risks. In the domestic economy low inflation has been accompanied with high growth, which is, however, concentrated in the services and construction sectors—demand-prone sectors—indicating that below-the-target inflation is not driven by deficient demand. Strong credit growth also is consistent with this narrative. While economic activity is strong, it is softening converging to potential growth rate. In addition, fiscal policy is one of the main case A scenario drivers through the positive demand effects in the short run, but also due to the potential effects on risk premium as the level of public debt rises. This in turn may create pressure for risk premium to increase. At the same time, case B considerations from the domestic economy have been mainly reflected in the softness of the labor market and gradual slowdown of growth normalizing around its long-term potential. The moderation of the wage growth warrants a serious consideration of case B scenarios. In addition, 2025 will most probably be characterized by softness in construction and mortgage markets. In summary, global and domestic structural factors are more tilted towards case A risk, whereas cyclical factors point to case B risks. The significant uncertainty about neutral interest rate, the path of the fiscal policy together with low inflation and some softness in the labor market motivates my vote to cut the policy rate by 25 basis cuts. This balances the risk of cutting too aggressively amid the significant uncertainty about the neutral rate and highly uncertain fiscal policy path against the risk of being slow in recognizing the potential softness in demand. The cost of policy error of cutting too aggressively and the potential policy reversal as opposed to failing to recognize the softness to the demand in a timely manner are balanced in my view.

Board Member Hasmik Ghahramanyan

At the February 4, 2025, CBA Board meeting, I voted to maintain the policy rate unchanged. My decision was based on the current state of the economy, the policies implemented in the preceding period, my outlook on economic prospects, and the scenario-based developments of external and domestic economic conditions driven by various risks—all with a commitment to bringing inflation closer to the 3% target. I assess that the impact transmitted to Armenia's economy from external factors will be mildly inflationary, albeit with notable uncertainties. Developments in partner countries remain mixed, particularly in terms of labor market, unit labor costs, and potential changes in trade routes. The emerging signs of deglobalization have increased uncertainties, leading policymakers to adopt a "wait-and-see" approach. Certain shifts are also anticipated in global commodity markets, including changes in oil production volumes and producer countries, as well as price fluctuations in some food products. In the foreseeable horizon, I do not expect significant inflationary pressures from domestic economic developments. Current trends in economic activity and labor market statistics suggest that inflationary pressures driven by domestic factors will not intensify. However, I see risks related to rising unit labor costs in Armenia, which, though currently are mainly driven by supply-side factors, I estimate, could expand demand in the near future. I do not rule out the possibility that fiscal policy could alter the current situation by stimulating demand. I still believe there are uncertainties around the components of neutral interest rate, despite the country's risk premium is lower currently, which, in my view, needs to be tested over time. I think, the output gap is currently close to zero: GDP growth is close to its estimated potential levels, and inflation is approaching the target. The decline in the Consumer Confidence Index at the end of 2024, marking its first drop in a year is another negative development. However, we should monitor its developments over time. The cyclical phase of the economy will become clearer in the coming quarters. Given these considerations, I find that the CBA's current monetary policy stance is sufficient to ensure overall economic equilibrium.

Board Member Davit Nahapetyan

Considering the macroeconomic team's analysis of economic and financial developments, as well as the detailed discussions with the Board members regarding the policy rate, I vote in favor of a 25-basis point reduction in the policy rate. Although certain inflationary trends persist in global commodity markets, I assess that the impact of external factors on the Armenian economy remains largely disinflationary. Despite some slowdown this year, economic activity in Armenia remains above forecasts. At the same time, inflation continues to stay below the target range. I do not identify significant factors driving aggregate demand pressures. Moreover, I believe that external demand for domestic services will continue to decline, which could affect the tourism and service sectors, as well as the real estate market. I emphasize the importance of cautious judgments regarding the neutral interest rate and the country's risk premium, considering both geopolitical risks and possible domestic economic developments. In this context, I believe that the CBA should position its policy in a more accommodative stance than neutral. A detailed examination of economic developments and fundamental conditions leads me to conclude that, while some Type A risks remain present, signals of Type B risk materialization are more tangible. The recent months' below-target inflation is a testament to the CBA's prudent monetary policy and its ability to anchor inflation expectations through effective risk management. In this context, I view a gradual 25 basis point reduction in the policy rate over the medium term as a rational and prudent step that optimally manages both upside and downside risks. I reaffirm that to ensure price stability, the CBA Board will continue to monitor economic development and take appropriate actions if necessary.

Board Member Artak Manukyan

In the context of economic and financial developments in recent months, I have assessed the main sources of potential risks and uncertainties. Given this, I am inclined to continue the policy of reducing the refinancing rate and vote in favor of decreasing the policy rate by 25 basis points. A close examination of the data shows that the external sector poses certain upside risks, which could transmit weak inflationary effects to the Armenian economy. Case A-type risks continue to include the risks associated with the Federal Reserve maintaining interest rates at a relatively high level for an extended period also influenced by U.S. trade policy decisions. In the domestic economy, I believe that Case B-type risks are more likely to materialize. Specifically, a declining growth rate for capital inflows could result in risks of weakening aggregate demand. At the same time, inflation remains significantly below the target level. Additionally, it is important to highlight that my decision takes into account the considerable recent decline (50–60 basis points) in Armenia's short-term risk premium. The real estate market is showing signs of weakening. Labor market conditions continue to weaken, as reflected in somewhat stabilizing wage growth, however, risks of additional demand pressures coming from fiscal policy remain real. Meanwhile, demand remains at a high level, as evidenced by the continued growth in lending. Considering the inflation remaining well below target in recent months, the thorough examination of current and underlying economic conditions, I remain inclined to continue the policy of reducing the interest rate. This is essential both for anchoring inflation expectations and for managing the expectations of financial market participants effectively. Accordingly, I consider a gradual 25-basis-point reduction in the policy rate to be an important step in the balanced management

of Case A- and Case B-type risks. I affirm that the CBA Board will continue to monitor economic development scenarios and, when necessary, take appropriate steps to ensure the price stability objective.

Board Member Levon Sahakyan

By discussing the developments in economic fundamentals, risks, and uncertainties during the policy cycle, as well as considering market expectations, I vote in favor of keeping the policy rate unchanged. In my assessment, current domestic economic conditions have moved toward closing the output gap, and my reasoning regarding the neutral interest rate leads me to believe that with the existing policy rate, we are in a slightly accommodative stance. At the same time, the growth rates of retail trade and lending still indicate that household demand remains at a sufficient level, while the index of non-tradable prices remains within the target range. Thus, domestic economic developments are in line with the expectations of the implemented policy, which aims for a smooth approach to potential GDP and maintaining the inflationary environment within the target range. Labor market developments are consistent with overall economic conditions, and there are no significant signals of weakening or overheating. Meanwhile, a significant reduction in interest rates at this stage could materialize some Type A scenario risks. Regarding external factors, I assess the risks of imported inflation to be relatively low due to the comparatively slow economic growth this year. However, a key consideration for my decision is the uncertainty surrounding the U.S. Federal Reserve's interest rate path. It appears that relatively high interest rates will persist for longer than initially expected. Currently, global financial markets are highly sensitive to decisions regarding U.S. tariff policy, leading to increased volatility in financial markets. Therefore, the spread between risk-free interest rates and domestic market interest rates remains an important factor.

Board Member Narek Ghazaryan

Considering the discussions with other Board members during the policy cycle, the analysis of current economic developments and fundamental conditions, as well as a comprehensive assessment of the main sources of risks and uncertainties, I vote in favor of reducing the policy rate by 25 basis points. My decision is based on the firm conviction that, although inflationary Case A-type risks are present in the medium-term horizon, significant deflationary Case B-type risks persist in both the current phase of the economy and the medium term. If these risks materialize, deflationary pressures in the Armenian economy will deepen. Emphasizing the presence of B-type risks, I specifically note that the economy of China continues to experience a very low inflation environment. In the EU, UK, and a number of other partner economies of Armenia, inflation has continued to slow down, and there is also a weakening of various labor market indicators. Considering the prolonged period of tight monetary conditions in these economies and the potential for a decline in the value of recently appreciated assets, it is possible that global inflation may decelerate, reaching undesirable levels. It is also worth noting that during the current period, a decline in energy prices and the prices of several other commodity goods has been observed. This trend may deepen and persist throughout 2025. Regarding B-type risks present in the domestic economy, I note that the slowdown in the growth rate of nominal wages in Armenia continues, reflecting the deceleration of economic activity observed in several sectors. Notably, if the above-normal economic activity in the real estate market, previously highlighted by the Central Bank, subsides, aggregate domestic demand will likely weaken, creating significant deflationary pressures. Given that both core and headline inflation in the domestic economy **remain below the Central Bank's 3% target**, the deflationary risks outlined above become increasingly concerning for the implementation of monetary policy. While describing the existing deflationary risks, it is also essential to address certain inflationary risks. Specifically, the current strict trade policy implemented by the U.S. government towards certain partner countries, the further tightening of this policy, as well as the expansion of the list of countries subject to such policies and their potential responses, could lead to significant price inflation for a range of goods in global trade. In the U.S., there may soon be a significant increase in fiscal stimulus and heightened tensions in global trade, which could accelerate the inflation of certain globally traded goods. However, it should be noted that in the case of escalation and implementation of the described developments, economic activity in both the U.S. and other countries involved in the trade tensions would significantly slow down, somewhat neutralizing the inflationary pressures created. Regardless of the likely effects of the aforementioned developments, geopolitical tensions and a worsening of supply-side factors could accelerate inflation in food and raw materials. Additionally, inflation and inflation expectations in Russia continue to rise, significantly exceeding target levels. I would also like to note that inflation and inflation expectations in the Russian economy have remained elevated above the target level. Over the medium term, there are also inflationary risks tied specifically to Armenia's internal economic developments. These include sustained high activity in certain sectors of the economy, the potential increase in fiscal stimulus provided to the economy, accelerated growth rates of loans extended to households and businesses, and the sustained rise in asset prices recorded in recent years, which could accelerate the growth of domestic demand and create additional inflationary pressures. These factors could continue to stimulate domestic demand for a considerable period, creating additional inflationary pressures. Balancing the A- and B-type risks described, I am convinced that it is necessary to continue the Central Bank's policy of moderate reductions in the refinancing rate, aiming to achieve an inflation level close to the Central Bank's target over the medium term. I reaffirm my commitment to the price stability objective and express my readiness to respond with appropriate measures to any new information that may pose risks to achieving the 3% inflation target and maintaining price stability over the medium-term horizon.

